

Antler's Framework for Finding Problem-Solution Fit.

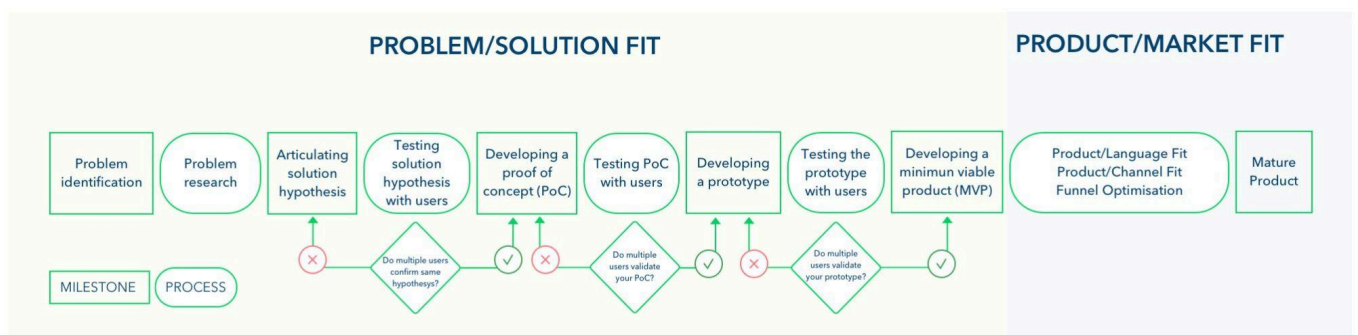
90% of startups fail within their first year of operation....

It is a sobering statistic that highlights just how difficult it can be to get a new business off the ground.

There's just a lot to consider, from developing your product to finding the right customers. But one of the most crucial aspects of a successful startup is ensuring that your solutions fit the problem you're trying to solve.

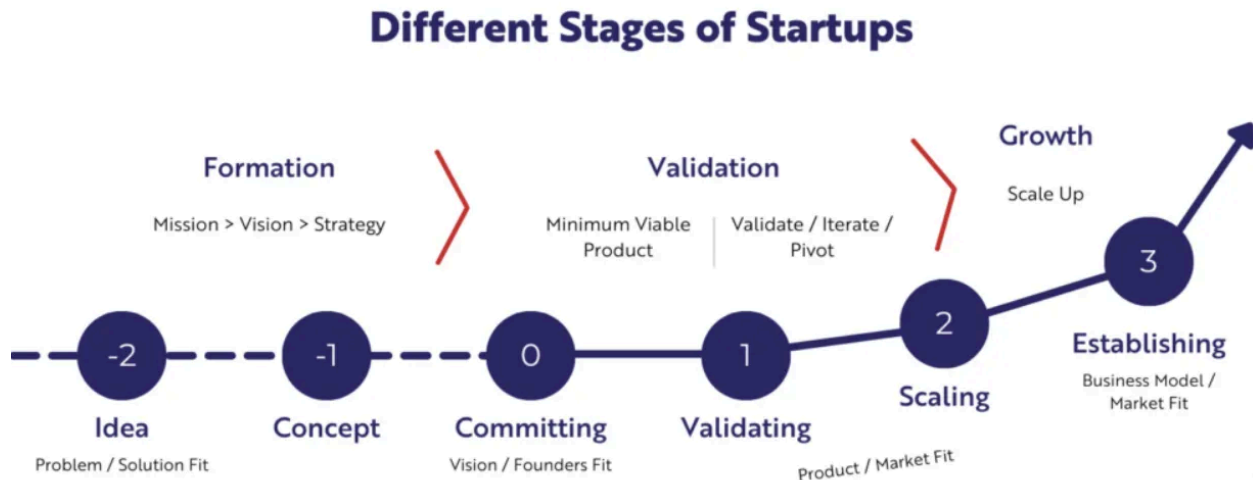
We'll discuss what **Problem-Solution fit** is and how startup entrepreneurs can ensure they have it. I'll also share some tips on how to identify the right problems to solve. So if you're building your own venture, read on! It Includes -

- Where Does Problem-Solution Fit in Your Startup Journey?
- So, What Is Problem-Solution Fit?
- So, How Do You Find a Problem-Solution Fit? - Three frameworks
- Problem-Solution Fit vs Product-Market Fit
- Problem-Solution Fit Example
- Selling to your early evangelists -
- Finally, develop the product for the Few, not the Many



Where Does Problem-Solution Fit in Your Startup Journey?

In The [Startup Owner's Manual](#), Steve Blank highlighted all successful startups start with learning about problems:



The first stage of a successful startup begins with **finding a Problem-Solution Fit**. This is when the founders discovered a deep customer problem in an underserved market. There is a lot of pivoting and working closely with a few sets of customers.

Then they move on to **Product/Market Fit**, where the startup has found a way to sign up customers, retain them and get healthy revenue in a large enough market.

Lastly, the startup moves into the **Scale stage**, focusing on expansionary growth and telling even more customers about their products.

So, What Is Problem-Solution Fit?

Problem-Solution Fit (PSF) is when founders have discovered a deep customer problem in an underserved market. This stage is generally very early and often in the seed or pre-seed stage.

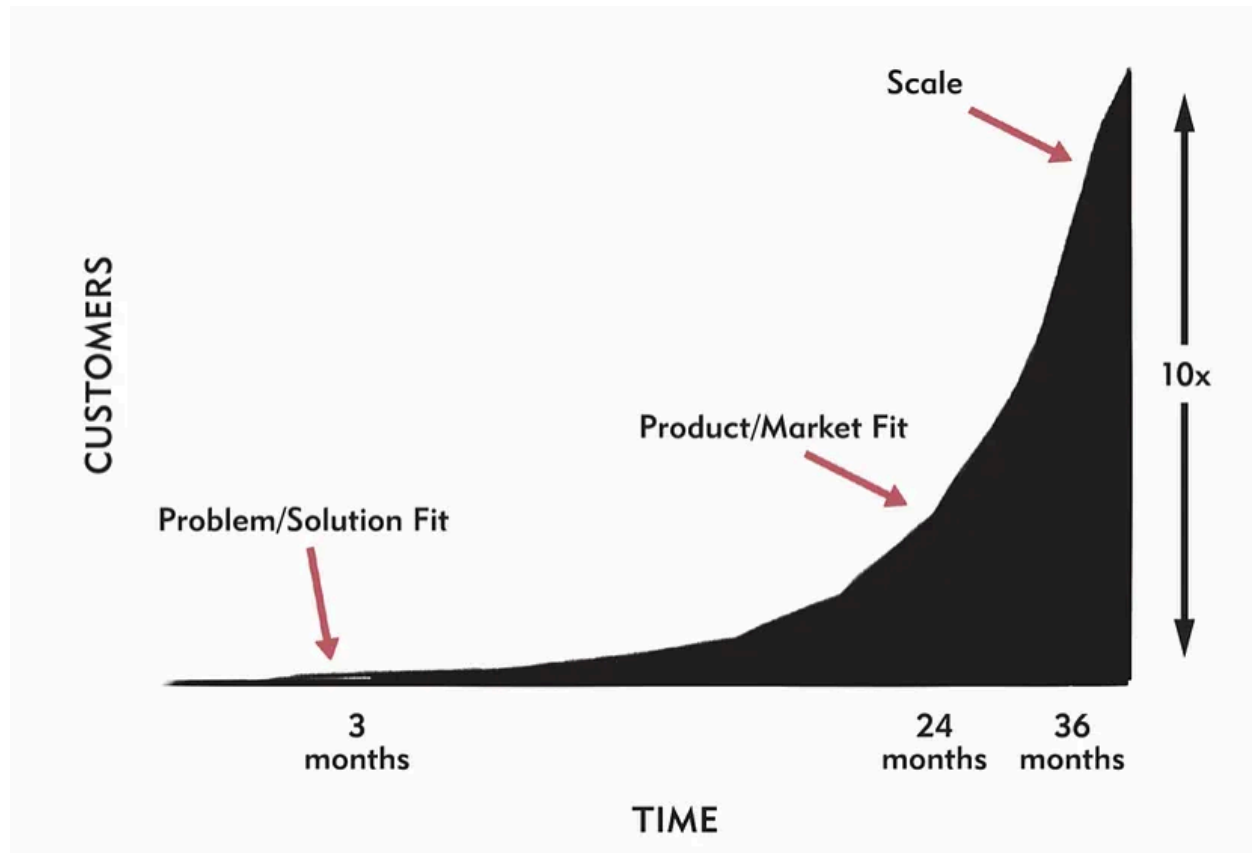


Image Source: Scaling Lean

Take Airbnb as an example.

The founders identified a problem when they started renting out their rooms to earn extra money. Then, they created a platform to help even more people earn extra income—the solution.

Their Problem-Solution Fit moment came when they received their first bookings during the Industrial Design Conference in 2008, then again via the Democratic National Convention in Denver.

They learnt that large events with hotel shortages were their secret sauce for growth. Armed with the problem-solution opportunity, they applied for Y-Combinator and got in. They expanded into New York (where there are always hotel shortages), and the rest is history.

Every successful startup starts from finding Problem-Solution Fit → then Product-Market Fit → then Scale.

Where are you now on that journey?

So, How Do You Find a Problem-Solution Fit?

As a founder, the moment you've thought of your idea, you've subconsciously started looking for PSF.

The Problem-Solution Fit takes shape slowly from a blurry gassy form to a fluid liquid form and eventually a tangible, solid form.

Some founders do this consciously, some intuitively:

Blurry Gas Form:

In this form, founders identify a problem and a solution that makes perfect sense in their minds. They either write it down or keep it in their minds. The product lives in the founder's imagination, without evidence.

Fluid Liquid Form:

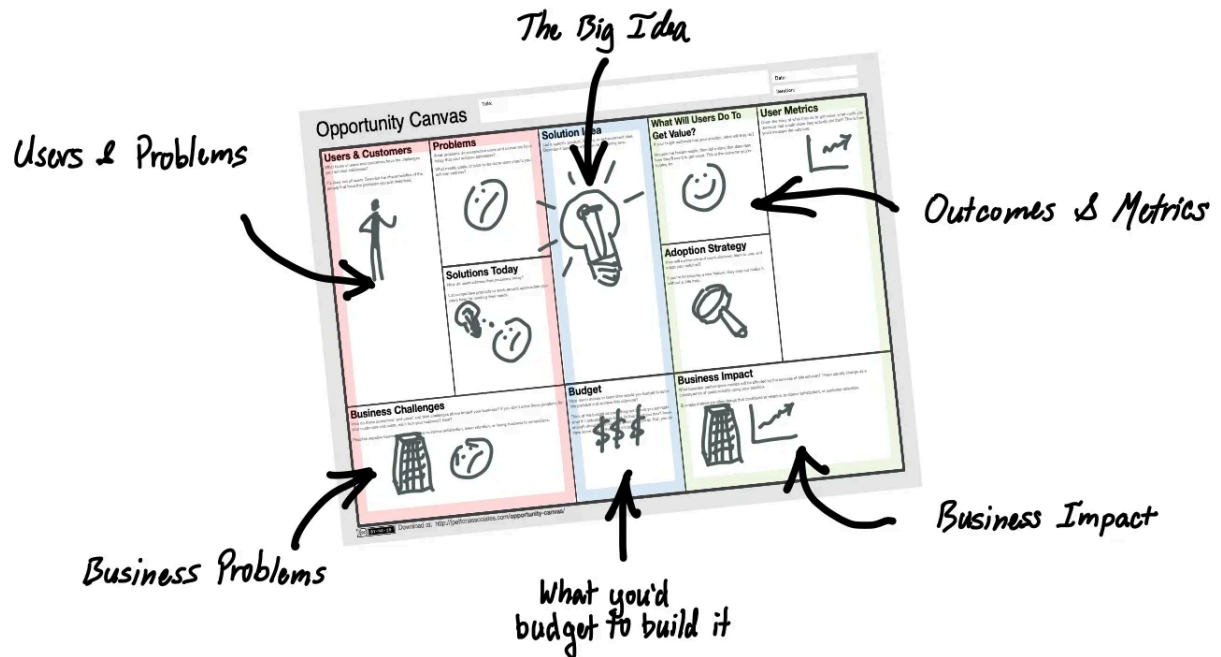
Next, the founders identify a solution and ascertain whether their audience resonates with it. They'll attempt to attract early-evangelists and iterate through landing pages, demonstrations, or prototypes.

Tangible Solid Form:

In this form, founders leverage demonstrations from digital prototypes, videos, sticky-tape solutions, and experiments to assess the efficacy of their proposed solution. The savvy founders will try to convert some early-evangelists into paying customers.

During these 3 phases, it's best to use a tool to capture the idea as it evolves from gas, liquid and solid forms. It's important to highlight the assumptions as the idea evolves and validate them. Here are 3 great tools to help you with this:

1. Jeff Patton's [Opportunity Canvas tool](#) is my favourite tool as it focuses more on product discovery and customer problems.



2. The [Lean Canvas tool](#) is always a great choice for startup founders. The Lean Canvas is more holistic for your startup, whilst the Opportunity Canvas focuses more on the product.

PROBLEM List your top 1-3 problems.	SOLUTION Outline a possible solution for each problem.	UNIQUE VALUE PROPOSITION Single, clear, compelling message that states why you are different and worth paying attention.	UNFAIR ADVANTAGE Something that cannot easily be bought or copied.	CUSTOMER SEGMENTS List your target customers and users.
	KEY METRICS List the key numbers that tell you how your business is doing.		CHANNELS List your path to customers (inbound or outbound).	
EXISTING ALTERNATIVES List how these problems are solved today.	HIGH-LEVEL CONCEPT List your 30-sec TV ad copy or 10-sec YouTube/Flickr for videos.	EARLY ADOPTERS List the characteristics of your ideal customers.		
COST STRUCTURE List your fixed and variable costs.		REVENUE STREAMS List your sources of revenue.		



Lean Canvas

Created by [Name] / [Date] version available at www.leancanvas.com

Let's look for Uber example -

Lean Startup Canvas

Early Strategic Analysis of Uber

PROBLEM List your top 1-3 problems.	SOLUTION Outline a possible solution for each problem.	UNIQUE VALUE PROPOSITION Single, clear, compelling message that states why you are different and worth paying attention.	UNFAIR ADVANTAGE Something that cannot easily be bought or copied.	CUSTOMER SEGMENTS List your target customers and users.
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3. If you're building a B2B product, the **Business Model Canvas** is a great option as it highlights partner channels and key resources you need to get started.

The Business Model Canvas Designed for: _____ Designed by: _____

One _____ Iteration _____

Key Partners  Who are our Key Partners? Who are our key suppliers? Which Key Resources are we acquiring from partners? Which Key Activities do partners perform? Which Key Channels do partners perform? Which Key Customer Segments do partners perform?	Key Activities  What Key Activities do our Value Propositions require? Our Distribution Channels? Customer Relationships? Revenue Channels? Key Resources?	Value Propositions  What value do we deliver to the customer? What problem do our customers' problems are we looking to solve? What bundles of products and services are we offering to each Customer Segment? Which customer needs are we satisfying? Key Resources? Key Activities? Key Channels? Key Customer Segments?	Customer Relationships  What types of relationships does each of our Customer Segments expect us to establish and maintain with them? What value does our relationship provide? How are they integrated with the rest of our business model? How do we integrate them? Key Resources? Key Activities? Key Channels? Key Customer Segments?	Customer Segments  For whom are we creating value? Which customer segments are most important to our business? Which customer segments are most profitable? Which customer segments are most accessible? Which customer segments are most attractive? Which customer segments are most defensible? Which customer segments are most scalable? Which customer segments are most sustainable? Which customer segments are most innovative? Which customer segments are most resilient? Which customer segments are most adaptable? Which customer segments are most flexible? Which customer segments are most responsive? Which customer segments are most proactive? Which customer segments are most reactive? Which customer segments are most assertive? Which customer segments are most cooperative? Which customer segments are most competitive? Which customer segments are most collaborative? Which customer segments are most synergistic? Which customer segments are most complementary? Which customer segments are most compatible? Which customer segments are most compatible?
Key Resources  What Key Resources do our Value Propositions require? Our Distribution Channels? Customer Relationships? Revenue Channels? Key Activities?		Channels  Through which Channels do our Customer Segments want to be reached? How are we reaching them now? Which channels are most effective? Which channels are most efficient? Which channels are most accessible? Which channels are most attractive? Which channels are most defensible? Which channels are most scalable? Which channels are most sustainable? Which channels are most innovative? Which channels are most resilient? Which channels are most adaptable? Which channels are most flexible? Which channels are most responsive? Which channels are most proactive? Which channels are most reactive? Which channels are most assertive? Which channels are most cooperative? Which channels are most competitive? Which channels are most collaborative? Which channels are most synergistic? Which channels are most complementary? Which channels are most compatible? Which channels are most compatible?		
Cost Structure  What are the most important costs inherent in our business model? Which Key Resources are most expensive? Which Key Activities are most expensive? Which Key Channels are most expensive? Which Customer Segments are most expensive? Which Customer Segments are most profitable? Which Customer Segments are most accessible? Which Customer Segments are most attractive? Which Customer Segments are most defensible? Which Customer Segments are most scalable? Which Customer Segments are most sustainable? Which Customer Segments are most innovative? Which Customer Segments are most resilient? Which Customer Segments are most adaptable? Which Customer Segments are most flexible? Which Customer Segments are most responsive? Which Customer Segments are most proactive? Which Customer Segments are most reactive? Which Customer Segments are most assertive? Which Customer Segments are most cooperative? Which Customer Segments are most competitive? Which Customer Segments are most collaborative? Which Customer Segments are most synergistic? Which Customer Segments are most complementary? Which Customer Segments are most compatible? Which Customer Segments are most compatible?		Revenue Streams  For what value are our customers really willing to pay? For what do they currently pay? How are they currently paying? How would they prefer to pay? How much does each Customer Segment contribute to overall revenues? Key Resources? Key Activities? Key Channels? Key Customer Segments?		

www.businessmodelgeneration.com

Write down your idea, and spend the time to validate your problem-solution with your early customers. From my experience, it takes 3 -5 rounds of validation to arrive at a clearer understanding of the problem, the customer, and the solution.

Problem-Solution Fit vs Product-Market Fit

Problem-Solution Fit and Product-Market Fit are often a point of confusion for early founders. On the surface, these two definitions are virtually identical = find a valuable product in a big enough market. However, the solutions in the Problem-Solution Fit stage are often different to those in the Product-Market Fit stage.

This is because Problem-Solution Fit focuses on a tiny group of early evangelists who are comfortable with missing features, as long as it solves their core problem. (Bad UX, no onboarding, and manual workarounds are part of the fun!)

Solutions during the Product-Market Fit stage focus on selling your product to a larger mainstream market. These solutions need to have a more robust set of features. (Reliability, Security, Reporting, and a decent UX is a common ask for these customers).

Problem-Solution Fit Example

David Wang, founder of product academy shared this example - “A great example I’ve experienced recently was assessing a content moderation tool for the company I currently work for.

My company is on a mission to create the most trusted destination on the internet. We want to moderate all content hosted on our platform to protect visitors.

Our team scoured the internet to find a tool that fit our requirements. After weeks of searching, we came across a startup that friends in the industry highly recommended. Their product was easy to use, had an AI engine that makes our lives easier, and had a few customers using it - a great demonstration of Problem-Solution Fit!

However, due to the size of our remote-first workforce, information security was a key need for us. We require features like Single-Sign-On and specific security certifications that the startup didn’t offer.

As a result, we ended up choosing another tool with fewer features but focused on a more robust set of features on information security. When we broke the news to the founders, they were disappointed but understood their product wasn’t right for us.

We departed amicably, and the startup will reach out again when they have the security features we require.

Now... could the startup have built the security features that we need? Absolutely.

But more importantly, was my company the right customer for them? Probably not.

They were focused on smaller startups with different sets of needs. To change their product just for my company would’ve meant overheads that were not worth it for them.

The moral of the story is that **“everyone” is not your customer.**

When you’re trying to find a Problem-Solution Fit, your customers must be your “early evangelists”—these are customers who would scream and shout about your product.

Once you’ve found a strong base of “early-evangelists” you can move into a bigger market to find Product-Market Fit.

Here is a quick comparison between your PSF customers vs your PMF customers:

Parameter	Problem-Solution Fit Customers	Problem-Market Fit Customers
Interest	Shows high interest in the seed or pre-seed stage when finding solutions to the problem.	Shows high interest when you have a few demonstrated successes across a broad set of problems.
Target Customer	Early evangelists are willing and eager to take a risk in using your product	Product market fit customers are more risk-averse but still keen to try your product. They may or may not be the end users.
Validation	This phase is about validating product ideas with a few small sets of early-evangelists	This phase concerns validating the market and expanding your customer base to a larger market.
Value Vs. Price	The focus is solely on building value. Pricing is utilised to learn about customer needs. (Often not focused on profit at this stage)	The focus is on setting a competitive price to help you maximise growth. (Often focused on acquisition, retention, and referral)
Customer Development	Focus on a few customers by solving their deeply felt problems.	Focus on a larger set of customer problems with multiple product strategies.

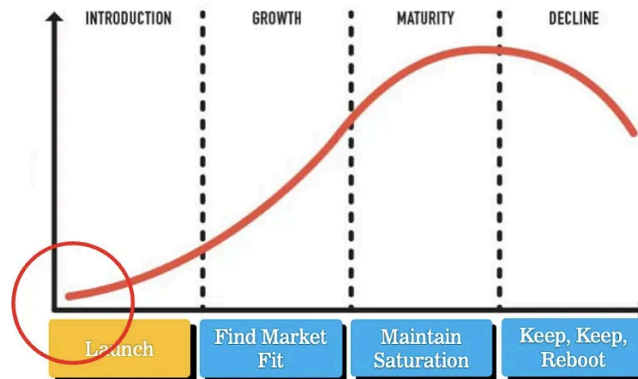
Selling to your early evangelists

Your early-evangelists are the catalysts of your product. These customers are willing to risk buying an unfinished product to gain an early competitive advantage or purely for bragging rights. (P.s. Bragging rights are never long-term strategies but it can get you off the ground).

- In the B2C space, they might be your techy friends who are always trying out new things.
- In the B2B space, this could be an executive testing a new business opportunity or a head of a function trying to solve a burning problem.

START WITH YOUR EARLY-EVANGELISTS

("EVERYONE" IS NOT YOUR TARGET MARKET)



The ultimate test for early evangelists is their willingness to pay for your product. When presenting your product idea to your ‘evangelists’— don’t be afraid to ask for a sale. If there are signs of hesitation (from both sides), you are not solving a problem deep enough.

Go deeper and ask: “What would make you pay a small deposit for this product?”

Early-evangelist hierarchy of needs

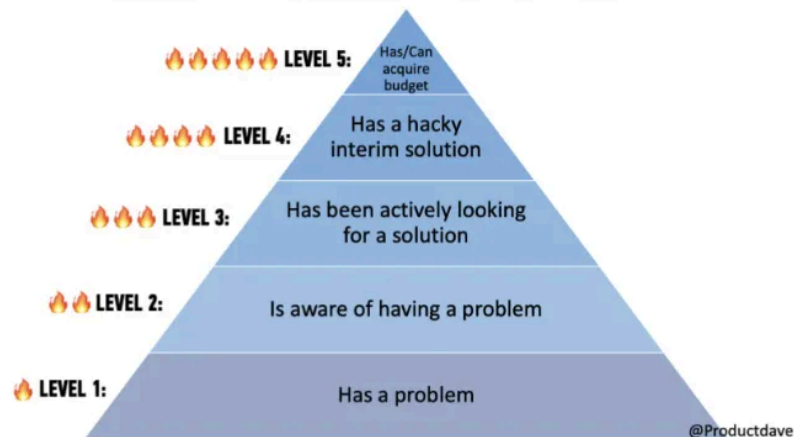
Like a product, the early evangelist goes through 5 stages of pain. The ideal customer is someone who is at the highest level and has the budget ready to buy something to solve their problem.

These are the five stages of pain your early evangelists goes through:

- Pain Level 1: They have a problem or a need
- Pain Level 2: They understand they have a problem (or you’ll need to help them discover a problem)
- Pain Level 3: They are actively searching for a solution to the problem, and have a timeline for finding it

- Pain Level 4: The problem is so painful that have cobbled together an interim solution
- Pain Level 5: They have a committed budget or can quickly acquire a budget to purchase a solution

EARLY-EVANGELIST HIERACHY OF PAIN



Source: Productive

The closer to the top of the pyramid, the more likely they will buy your product, and even spread your vision for you.

So, where do these early evangelists hang out?

Let's think about the last time you were in a market to purchase a property or looking for a place to rent. Where did you go?

You'd probably start with a Google search on a suburb or use a real estate website. You might ask your friends and family or even walk into your local real estate agency.

If you're looking for your early evangelists, they won't come to you directly—you need to go where they are looking. Cold calling rarely works because it's hard to identify your customer's pain level in one single call. Better to invest your luck in one of the five strategies below.

These are 5 Key Strategies To Find Early-Evangelists:

1. Leverage your network

Ask your existing friends, family, colleagues, investors or even LinkedIn to connect with people experiencing the problem you're trying to solve. Offer to advise, free work, kudos, or anything your network finds valuable in return.

Practice give-give-get. Always give more value to your network than you get from them, and people are willing to help you.

2. Find the virtual “Gathering places”

These are online or offline gatherings where your early evangelists go to find a solution to solve their problems. Places like forums, social media groups, Twitter, slack groups or even shared offices.

Be active and generate conversations around the problem you're trying to solve, and of course, give-give-get.

3. Events

Attend conferences, seminars, trade shows and meetups where your early evangelists go for pleasure or work. Or, if there are no events for your problem space, create one yourself and use your network and the ‘gathering place’ above to spread the word.

You'll make a conversation topic that shows you deeply care about helping your customers solve their problems.

Pro Tip

Find a way to access the attendees' list so you can reach out beforehand and set up 1:1 time with potential prospects. The networking starts BEFORE the event begins.

4. Paid advertising

In some instances, paid advertising might be a great way to get your startup in front of people. I'm broadly using the term ‘paid advertising’ to involve more than just google ads. Think about paid sponsorships, paid ads in a newsletter, paid influencers, or anything

that you can use the money to acquire attention. Make sure you have a clear “what’s-in-it-for-me” call to action to turn your prospects into conversations.

5. Agents, partners or consultants

For more complex industries, you might have to go through agents, consultants or partners that already have an established footing with your customers.

A typical example is breaking into the enterprise sector would require you to go through a few ‘approved’ vendors for you to have a ‘ticket to play’. You can sell your product through existing vendors/consultants or build apps through a marketplace like Slack Apps or Salesforce Marketplace. Partnerships are great for getting your foot in the door and finding early customers.

Play long-term games with long-term people. Grow with your early evangelists, and they’ll spread your product for you.

Finally, develop the product for the Few, not the Many

The sweet spot for startup success lies in the intersection of a meaningful problem and the right solution. In a startup, the first product is not designed to satisfy a mainstream customer, and that’s okay. No startup can afford to build a product that suits every customer and be successful at it.

All great products start with finding a Problem-Solution Fit. Be prepared to pivot, persevere and even kill off bad ideas. Always remember:

- You’re creating a product for your customers, not your ego.
- Find your early evangelists to pay for the problem you solve, and solve it well.
- As a founder, time is your most valuable resource, not money. Do everything to preserve it.

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Source: Antler’s Academy